

TODARIDE SOCIAL ENTERPRISE

Proposed Corporate Composition, Ownership & Social Impact Sharing Structure

1. Corporate Structure

TodaRide should operate through a separate Philippine stock corporation, tentatively:

TODARIDE TECHNOLOGIES, INC.

The corporation will own and operate the TodaRide technology platform, including the mobile application, software, brand, business systems, and future technology developments.

The **Rotary Club of San Jose Golden Harvest** and the **RCC of San Jose Golden Harvest** will be recognized as strategic social-enterprise/community partners but will **not initially hold corporate shares**.

This creates a clear separation between:

- Commercial ownership
- Investor returns
- Founder/developer compensation
- Community participation
- Rotary social-impact activities

2. Proposed Ownership Structure

Shareholder / Equity Pool	Proposed Equity	Nature of Contribution
Cesar Macalinao – Founder & Main Developer	35%	Founder contribution, existing software, IP, technology, development and leadership
Investors	30%	Cash capital investment
Developers & Key Personnel Pool	15%	Technical development, operations, marketing and continuing contribution
Strategic / Community Partner Pool	10%	Strategic partnerships, expansion and community development
Future Investor / Employee Pool	10%	Future strategic investors and key personnel

Shareholder / Equity Pool	Proposed Equity	Nature of Contribution
TOTAL	100%	

Important: Cesar's 35% is NOT a ₱350,000 cash requirement.

The 35% Founder allocation represents the value of the **Founder Contribution**, including:

- TodaRide concept and business model
- Existing app development
- Source code and software architecture
- System design
- Technical development
- Product development
- Technology/IP contribution
- Business development
- Founder leadership
- Continuing development and technical direction

The actual valuation of the contributed technology and services should be documented and approved as part of the corporation's formation and capitalization.

3. Founder Equity Structure

Cesar's 35% may be internally classified as:

Founder Contribution	Equity
Founder / Business Concept / Leadership	25%
Technology / Software / IP Contribution	10%
Total Founder Equity	35%

This makes it clear to investors that the Founder is contributing substantial **non-cash value** to TodaRide.

The existing software, source code, documentation, designs and other intellectual property should be properly documented and assigned/licensed to the corporation through appropriate legal agreements.

4. Rotary Club of San Jose Golden Harvest

Role:

NGO / Social Impact Partner

Equity: 0%

The Rotary Club should not receive ordinary shares or dividends because it is a non-stock/non-profit organization.

Its role will be to support the social-enterprise mission of TodaRide.

Possible responsibilities:

- Community development
- Passenger safety programs
- Student safety programs
- Road-safety education
- Community projects
- Social-impact programs
- Coordination with Rotary-supported beneficiaries
- Support for approved Rotary Foundation/TRF-related projects

Financial participation

Instead of receiving shares, TodaRide may establish a:

TodaRide Social Impact Fund

A predetermined portion of TodaRide's **net distributable profit** may be allocated to approved social-impact activities.

Proposed initial allocation:

5% of Net Distributable Profit

This amount may support:

- Rotary-supported community projects
- Passenger and student safety initiatives
- Community development
- Other approved social-enterprise projects

The exact mechanism should be documented in a separate agreement and reviewed for compliance with Philippine law and Rotary/TRF requirements.

5. RCC of San Jose Golden Harvest

Role:

Community Marketing & Promotion Partner

Equity: 0% initially

The RCC can provide substantial value without becoming an owner of the corporation.

Responsibilities:

- TODA/community presentations
- Driver recruitment
- Passenger awareness
- Community marketing
- Social-media promotion
- Barangay/community coordination
- Student safety campaigns
- Driver orientation
- Promotion of TodaRide benefits

Proposed compensation/incentive

Instead of permanent equity, RCC may receive an agreed **Community Development Incentive**, such as:

Option A – Performance Incentive

A fixed amount for qualified drivers/passengers successfully recruited.

Option B – Revenue Incentive

A small percentage of net platform revenue generated from communities directly developed by RCC.

Option C – Social Impact Allocation

A defined portion of the TodaRide Social Impact Fund may be allocated to approved RCC-led community programs.

The final arrangement should be based on measurable performance and documented in a Community Partnership Agreement.

6. Investors

Proposed Equity Pool:

30%

Investors provide the cash capital required for:

- App development
- Servers/cloud infrastructure
- Marketing
- Driver recruitment
- Passenger acquisition
- Business registration
- Payment systems
- Equipment
- Operations
- Expansion
- Working capital

Investors should not automatically receive a fixed percentage simply because they invest a particular amount.

Instead, TodaRide should establish a **company valuation** before accepting investment.

Example

If TodaRide is valued at:

₱4,000,000 pre-money

and an investor invests:

₱1,000,000

then:

Post-money valuation = ₱5,000,000

The investor's ownership would be:

₱1M ÷ ₱5M = 20%

The remaining ownership stays with the existing shareholders.

This approach is more appropriate for future investment rounds.

7. Developers & Key Personnel

Equity Pool:

15%

This pool is intended for people who make substantial contributions to TodaRide through:

- Programming
- Mobile development
- Backend development
- UI/UX
- Server/cloud management
- Cybersecurity
- Technical support
- Operations
- Marketing
- Business development
- Other critical functions

Recommended vesting

The shares should generally be subject to **vesting**, rather than being given completely upfront.

Example:

4-year vesting period

Period	Vested
Year 1	25%
Year 2	50%
Year 3	75%
Year 4	100%

This protects TodaRide if a key developer leaves shortly after receiving equity.

8. Strategic / Community Partner Pool

Equity Pool:

10%

This pool should be reserved for strategic contributors who can materially accelerate TodaRide's growth.

Possible recipients could include:

- Strategic business partners
- Transport-sector partners
- Technology partners
- Major community development partners
- Expansion partners
- Key business executives

This equity should **not automatically be distributed at incorporation**.

It can remain reserved and be granted only when a strategic contribution is actually delivered.

9. Future Investor / Employee Pool

Equity Pool:

10%

This provides flexibility for future growth.

It may be used for:

- Future investors
- Senior executives
- CTO/technical leaders
- Regional managers
- Business development executives
- Major strategic partners
- Employee incentive plans

Keeping this reserve avoids unnecessarily diluting the Founder and existing investors later.

10. Proposed Revenue Flow

TodaRide should distinguish **gross revenue** from **profit**.

Example:

Passenger Booking

↓

Gross Booking Amount

↓

Driver/TODA share

↓

Payment processing costs

↓

Platform operating expenses

↓

Technology/server expenses

↓

Marketing/customer support

↓

Taxes and required reserves

↓

Net Distributable Profit

↓

Profit allocation

11. Social Impact Allocation

From **Net Distributable Profit**, TodaRide may establish:

5% – Social Impact Fund

Potential beneficiaries/programs:

Rotary Club of San Jose Golden Harvest

- Community projects
- Approved Rotary initiatives
- TRF-related projects where legally and organizationally appropriate

RCC of San Jose Golden Harvest

- Community promotion
- Driver/passenger education
- Student safety
- Local community programs

TodaRide

- Passenger safety technology
- Driver safety programs
- Community development

The exact percentages within the Social Impact Fund should be agreed upon annually based on approved projects.

12. Suggested Governance

Board of Directors

A possible five-member structure:

1. **Cesar Macalinao – Founder / Technology**
2. **Investor Representative**
3. **Business/Finance Representative**
4. **Transport/Operations Representative**
5. **Independent/Community Representative**

The Rotary Club may be invited to designate a **Social Impact Adviser or non-voting observer**, subject to agreement.

This gives Rotary meaningful participation in the social mission without making the NGO a shareholder.

13. Management Structure

Cesar Macalinao

Founder & Main Developer / CEO or CTO

Primary responsibilities:

- TodaRide technology
- Software architecture
- App development
- Product roadmap
- Technical leadership
- Intellectual property
- Strategic development
- Business partnerships

Chief Operating Officer

Responsible for:

- TODA relationships
- Driver onboarding
- Daily operations
- Customer service
- Community implementation

Marketing / Business Development

Responsible for:

- Passenger acquisition
- Driver acquisition
- Social media
- Community campaigns
- RCC coordination
- Business partnerships

Finance & Administration

Responsible for:

- Accounting
- Investor reporting

- Cash management
- Taxes
- Financial controls

Social Impact Coordinator

Responsible for:

TodaRide ↔ Rotary ↔ RCC ↔ Community

and monitoring the social-enterprise commitments.

14. Key Principle for TodaRide

The structure should follow this principle:

"Profit for Sustainability, Technology for Mobility, and Growth for Community."

TodaRide is a **for-profit technology company with a defined social mission.**

Therefore:

Investors receive investment returns.

The Founder receives equity for the value of his contribution.

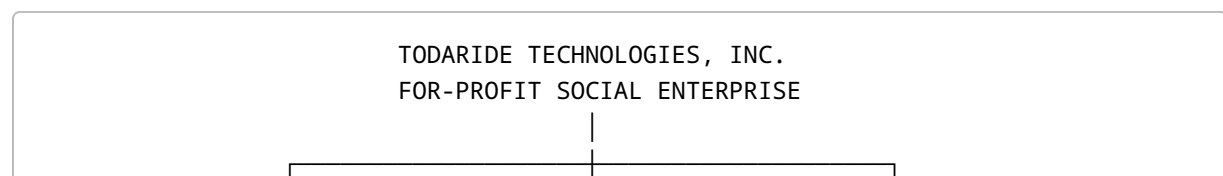
Developers and key personnel can earn equity for their work.

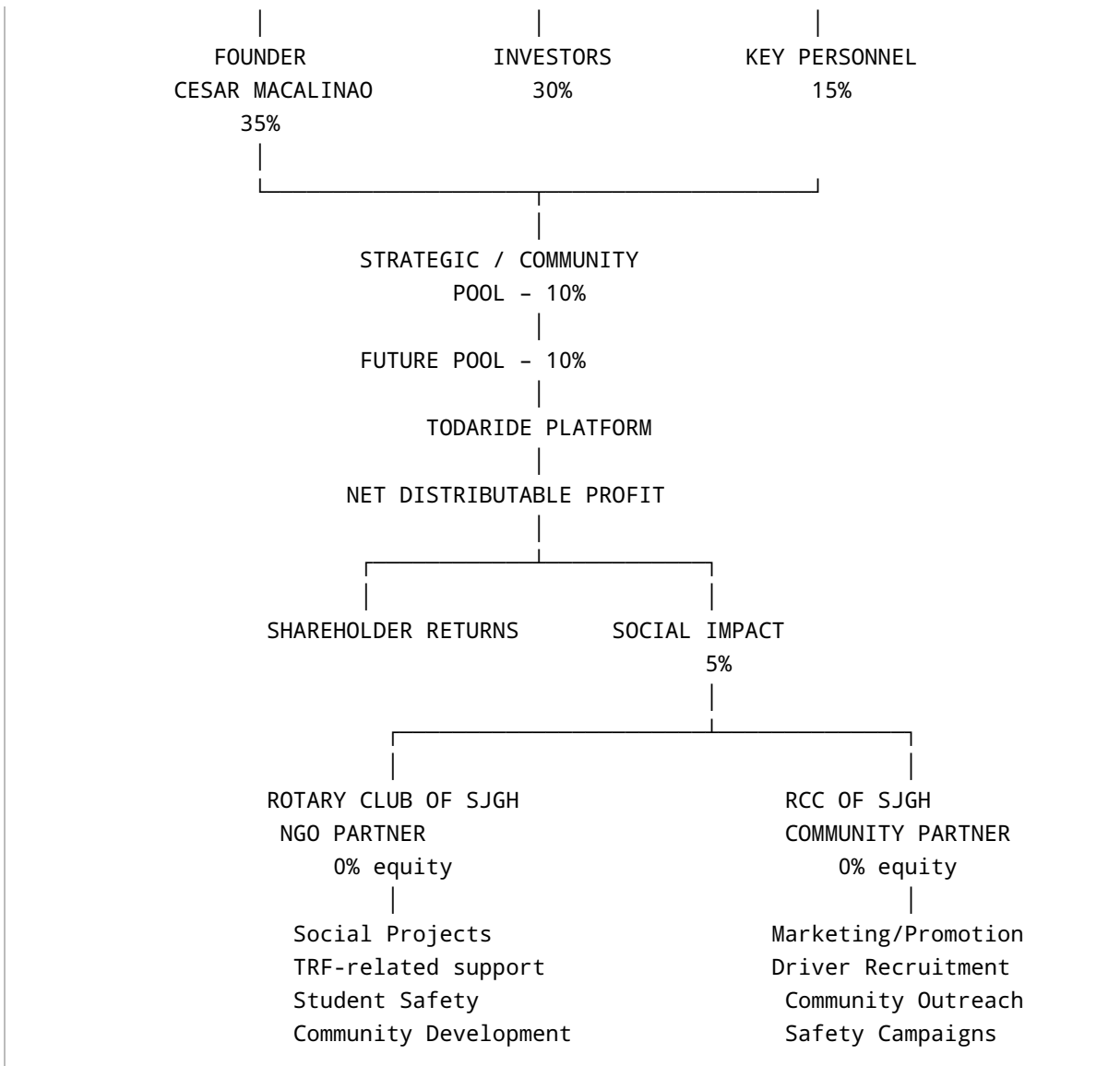
RCC receives appropriate community/marketing incentives.

Rotary receives no dividends and no corporate equity, but becomes the principal NGO Social Impact Partner.

A defined portion of TodaRide's success is returned to the community through approved social-impact programs.

15. Final Recommended Structure





Recommended Final Position

Cesar Macalinao – 35%

Investors – 30%

Developers & Key Personnel – 15%

Strategic/Community Pool – 10%

Future Pool – 10%

Rotary Club of San Jose Golden Harvest – 0% equity / NGO Social Impact Partner

RCC of San Jose Golden Harvest – 0% equity / Community Marketing & Promotion Partner

Founder cash requirement for the 35% allocation: not automatically ₱350,000. The Founder shares should be supported by properly documented valuation of the Founder's existing software, IP, services and other contributions.

This is a proposed business structure, not a legal opinion. Before incorporation or accepting investors, the capitalization, treatment of contributed software/IP/services, securities compliance, tax treatment, shareholder agreements, and Rotary/RCC arrangements should be reviewed by a Philippine corporate lawyer and CPA.